

SL Green and Mori Building Double Down on Office Development at 346 Madison

\$175 m

Transaction value

On a Tuesday in late May, Marc Holliday sat across from a familiar partner and signed away 49 percent of a development site. The buyer: Mori Building, the Japanese developer that...

The clean read

- The buyer: Mori Building, the Japanese developer that has co-invested with SL Green on One...
- The deal values the 850,000-square-foot project at \$175 million.
- On a Tuesday in late May, Marc Holliday sat across from a familiar partner and signed away...

The numbers tell the story

\$175 m

Transaction value

\$160 m

Transaction value

\$15 m

Transaction value

This is a capital stack story

One Vanderbilt leased up rapidly in a market where most office towers sat empty.

"It is a signal: institutional capital sees a path to rent growth in the highest-quality office product, even as the broader market struggles with vacancy and repricing."

- The discount reflects the market's skepticism toward office development generally.
- The premium reflects the specific attributes of this site and sponsor.

Who is moving the market

- Marc Holliday: central to the transaction.
- SL Green: central to the transaction.
- One Vanderbilt: central to the transaction.

Where the deal can break

- It is a signal: institutional capital sees a path to rent growth in the highest-quality office...
- Mori Building is not a passive capital source.
- It bought an 11 percent stake in One Vanderbilt in 2024 at a \$4.7 billion valuation.

What lenders and investors notice

\$160 m

Transaction value

\$15 m

Transaction value

\$4.7 b

Transaction value

The broader implication

The discount reflects the market's skepticism toward office development generally.

- The premium reflects the specific attributes of this site and sponsor.
- Holliday's statement that now is "the perfect time" to develop is not marketing fluff.

By then, the supply of new trophy office will be measured in single digits of buildings.

The headline is the transaction. The story is the structure.

If the capital stack works, the deal becomes a signal. If it does not, it becomes a warning.

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